

LIQUIDITY NEEDS

The lazy financial plan along with different tiers, is built in a manner such that the liquidity needs are automatically taken care of. We have three kinds of liquidity needs– Transactional Needs (for day to day transactions), Precautionary Needs (for emergency needs) and Growth Needs(for capital growth).

In our Lazy Plan, transactional needs will be taken care of by the cash flow system. Emergency system and the insurance system will take care of the precautionary needs. Lastly, the growth system takes care of general growth needs. We already know how money is managed in each of the systems.

Any unique circumstance not reflected in our lazy plan will be added. If we have any special requirements of liquidity, we will move resources to more liquid assets. For instance, we might have a larger emergency system required if a family member has a chronic disease. Such circumstances need to be reflected in the Lazy Plan.

